

Banking Costs

Sometimes you can gain as much by cutting seemingly insignificant costs that add up over time as you can by earning additional income. Banking costs are a good example. Banks charge so many different types of fees, some of them hidden, that you may not realize what your real costs are.

With minimum balance requirements, ATM fees, overdraft charges, and other fees, even your basic checking and savings accounts might be costing you more than they should. When your money could be earning more somewhere else, you're paying opportunity costs. You may not be paying any fees directly, but you've lost an opportunity to make money elsewhere. For example, the balance that you maintain in your checking account to avoid a monthly fee could be earning more than the monthly fee if invested in a money market account or certificate of deposit (CD).



Check printing is another area where it's easy to save a little money. Why pay the \$25 to \$50 or more that your bank charges for printing 200 checks when you can use a discounter and pay between \$6 and \$8?

Service Versus Cost

Be aware of your banking costs and make intelligent trade-offs to get the services you use for the lowest overall cost. If keeping a minimum balance in your checking account costs you \$5 a month in opportunity costs but saves you \$7 in fees, it makes sense to go with that option. If you have savings and checking accounts at the same bank, keep only as much money in the checking account as you need to pay bills that are due immediately. Let the rest of your funds go to work for you by earning interest in your